NIGHTLY MACRO INTELLIGENCE BRIEFING

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DOMINANT SIGNAL	COMBO C (STAGFLATION / ENERGY SHOCK) — MEDIUM DURATION	TACTICAL FEARFUL

COMBO	STATUS	DURATION / WEEKS	DIRECTION	3M HIT RATE	AVG 3M SPX
C — Stagflation	■ ACTIVE	Week 11 of 16 (MEDIUM)	BEARISH	83%	–3.2%
E — Valuation Extreme	■ PARTIAL	CAPE 42x (ongoing)	BEARISH (6–18m)	73%	Neg fwd 12m
F — Recovery	■ ACTIVE	Week 8 of 26 (3–6m window)	BULLISH	78%	+9.5% avg
D — FOMO Top	■ WATCH	VXTS 1.25 (at threshold)	BEARISH (tactical)	72–85%	–3 to –5% / 5d
A — Liquidity	■ INACTIVE	NFCI –0.52 (LOOSE, not RARE)	n/a	—	—
B — Capitulation	■ INACTIVE	VIX 16.7, HY 300bps (both NORMAL)	n/a	—	—
G — Hidden Stress	■ RESOLVED	Apr 2025 episode cleared	n/a	—	—

CURRENT REGIME STATE

Fed Cycle	CUTTING_EARLY	Yield Curve	STEEPENING +43bps
Geopolitical	REGIONAL_WAR (Iran / Hormuz)	Valuation	EXTREME CAPE 42.0x
Liquidity	GLOBAL_EASY NFCI –0.52	SSI Multiplier	1.00× (PARTIAL — 1 of 4 signals confirm)

MACRO INTELLIGENCE BRIEFING — 26 MAY 2026

The dominant macro signal heading into this week is **Combo C (Stagflation / Energy Shock)**, now in its **11th consecutive week** — firmly Medium Duration by the system's classification. WTI crude has fallen from its peak of $117 to approximately $91 on Iran deal progress, with the 4-week rolling change now estimated at –17%, approaching the +5% cancellation threshold. **Combo C is not yet cancelled.** Both the WTI leg AND a clean CPI print must clear before the signal deactivates; with the next CPI release pending, the system maintains active status.

The signal tension this week is meaningful: **Combo F (Recovery)**, which fired on March 30, 2026, remains active in week 8 of its 26-week window. The 78% hit rate on Combo F over 16 historical instances since 1932 is the strongest near-term bullish case. The 50-week MA reclaim was confirmed with >+3% weekly conviction and CFTC positioning was not yet at extreme long — the mechanical setup remains intact.

The dominant signal is C over F because: (1) energy shocks with Medium Duration have historically produced negative SPX returns at 3 months in 5 of 6 comparable instances; (2) CAPE at 42x amplifies the Combo E structural warning; (3) the yield curve re-steepening at +43bps is historically associated with the onset of credit deterioration 6–9 months forward, not the all-clear. Combo F's bullish signal is most powerful at 1–3 months; Combo C's bearish signal intensifies at 3–6 months. The system is therefore **Tactical Fearful / Strategic Brave**: the near-term window favours holding existing positions; adding meaningful new long exposure here carries above-average tail risk.

Closest historical analogs: June 2008 (WTI $130, CPI 5.6%, yield curve steepening — SPX –18% over next 6m); June 2022 (WTI $120, CPI 9.1%, curve inverted — SPX –14% over next 3m before final bottom); Q3 2005 (WTI $70 energy grind, CAPE 25x, curve flattening — SPX +4% over 6m, modest drag only). Current setup is closest to 2008 in energy velocity but 2022 in valuation and yield curve structure. The 2005 analog applies only if Iran resolves quickly and oil returns to $70–75 within 4 weeks.

LIVE VARIABLE DASHBOARD

#	Variable	Current	Tier	3yr Pctile	Signal	Combo
1	**NFCI (FCI)**	–0.523	NORMAL	~30th	**Loosening**	A,E
2	**HY OAS**	~305bps	NORMAL	~20th	**Tight/benign**	A,B,F,G
3	**Fed BS MoM Δ**	Flat / slight QT	NORMAL	~45th	**Neutral**	A,C
4	**USD/CNH**	~7.25 est	NORMAL	~50th	**Stable**	A,C,G
5	**WTI 4wk Δ**	–17% (↓ from peak)	EXTREME→CLEARING	~95th→falling	**C ACTIVE wk11**	C
6	**VIX**	16.7	NORMAL	~25th	**Complacent**	B,D,G
7	**VIX TS (VIX3M/VIX)**	~1.25	WATCH (D thresh 1.10)	~80th	**D PARTIAL**	D,G
8	**CFTC Net Spec**	Elevated long (est)	TBD (Fri pull)	Need Friday	**TBD**	B,D,E,F
9	**10Y–2Y Curve**	+43bps, steepening	NORMAL	~55th	**Post-inversion**	A,E
10	**CPI Surprise**	Next print pending	N/A	N/A	**Monitor**	C
11	**GSR (4wk Δ)**	Gold $4,523 / est $50 Ag	Need pull	Need pull	**Need Friday**	A+
12	**CAPE**	42.04x	EXTREME	~97th	**E PARTIAL**	E

SYSTEM RECOMMENDATION	TACTICAL FEARFUL / STRATEGIC BRAVE Hold existing long positions from Combo F reclaim (Mar 30). Do NOT add new broad equity exposure until: (1) WTI 4wk Δ confirms below +5% for 4 weeks, AND (2) next CPI print is not hot. Monitor: VXTS ratio (Combo D trigger at 1.10+), CFTC Friday release.